

FEDERAL MARITIME COMMISSION

PETITION OF CHINESE-POLISH JOINT
STOCK SHIPPING COMPANY FOR AN
EXEMPTION FROM 46 U.S.C. § 40703

Petition No. P1-25

Served: August 7, 2025

BY THE COMMISSION: Rebecca F. DYE, Daniel B. MAFFEI,
Max S. VEKICH, *Commissioners*.

Order Granting Petition

On April 28, 2025, pursuant to 46 U.S.C. § 40103(a) and the rules of the Federal Maritime Commission (“Commission”) at 46 C.F.R. § 502.94, Chinese-Polish Joint Stock Shipping Company (“Chipolbrok”), a controlled carrier,¹ petitioned for an exemption from 46 U.S.C. § 40703. This exemption would enable Chipolbrok to reduce tariff rates immediately, instead of being subject to the thirty-day waiting period that is currently prescribed for controlled

¹ 46 U.S.C. § 40102(9) defines a controlled carrier as:

an ocean common carrier that is, or whose operating assets are, directly or indirectly, owned or controlled by a government, with ownership or control by a government being deemed to exist for a carrier if—(A) a majority of the interest in the carrier is owned or controlled in any manner by that government, an agency of that government, or a public or private person controlled by that government; or (B) that government has the right to appoint or disapprove the appointment of a majority of the directors, the chief operating officer, or the chief executive officer of the carrier.

carriers by the Shipping Act of 1984. Notice of the filing of the Petition was served on May 2, 2025, and published in the Federal Register on May 9, 2025.² Comments were due by June 9, 2025. The Commission received a total of eleven comments: four opposing the petition and seven supporting it.³

Because the requested exemption will not result in a substantial reduction in competition or be detrimental to commerce, the Commission has determined to grant the petition, with two conditions: that Chipolbrok file a statement of justification under 46 U.S.C. § 40704(a) when it looks to lower its rates; and that the exemption is limited to three years.

I. BACKGROUND

Chipolbrok is a limited liability company and joint venture between the governments of Poland and the People's Republic of China. The company is registered in Shanghai, China, and has offices in Shanghai and Gdynia, Poland. The Ministry of Transport of the People's Republic of China and the Ministry of Marine Economy and Inland Navigation of the Republic of Poland, which is now known as the Ministry of Infrastructure, are the owners of Chipolbrok.⁴

Chipolbrok was designated as a controlled carrier on November 4, 2024. The Commission's General Counsel made this determination under delegated authority⁵ and, therefore, the Office of the General Counsel notified Chipolbrok that it met the criteria for classification as controlled carriers and was subject to the requirements of

² See 90 FR 19716.

³ Seven of the comments were anonymous with three supporting the Petition while four opposed it. The other four comments were submitted by the Embassy of the Republic of Poland in China, Celtic Marine and Logistics, C. Steinweg (USA) Inc., and Baltic America Express Line LLC, all supporting Chipolbrok's petition for an exemption.

⁴ Pet. at 1.

⁵ See 46 C.F.R. §§ 501.23, 565.3.

46 U.S.C. §§ 40701–40706.⁶ On January 31, 2025, Chipolbrok filed a rebuttal to this classification after having been granted a six-week extension of time to file.⁷ On April 14, 2025, the Commission upheld Chipolbrok’s classification as a controlled carrier.⁸

Chipolbrok has petitioned the Commission for an exemption from 46 U.S.C. § 40703, which states that “a rate, charge, classification, rule, or regulation of a controlled carrier may not become effective, without special permission of the [Commission], until the 30th day after publication.” Such an exemption would allow the company to reduce its tariff rates effective upon publication. Chipolbrok argues that this exemption is justified as it would neither reduce competition nor be detrimental to commerce.⁹

II. DISCUSSION

The Commission has the authority under 46 U.S.C. § 40103 to grant exemptions for agreements or activities if the exemption will not result in a substantial reduction in competition or be detrimental to commerce. The Commission has previously granted exemptions from section 40703.¹⁰

⁶ See Notice of Determination, Docket No. 25-06, (FMC April 14, 2025).

⁷ See Rebuttal of Controlled Carrier Determination Notice issued to Chinese-Polish Joint Stock Shipping Company, Federal Maritime Commission Number 020107 (January 31, 2025); Order Granting Petition for an Extension of Time to File a Rebuttal to its Classification as a Controlled Carrier Under 46 C.F.R. § 565.3, Docket No. P1-24 (FMC December 4, 2024).

⁸ Notice of Determination, Docket No. 25-06 (FMC April 14, 2025).

⁹ Pet. at 1.

¹⁰ See Petition of American President Lines, Ltd. and APL Co. PTE. Ltd. for a Full Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, as amended, 30 S.R.R. 517 (FMC 2004); Petition of China Shipping Container Lines (Hong Kong) Co., Ltd., for an Exemption from the First Sentence of Section 9(c) of the Shipping Act, 30 S.R.R. 645 (FMC 2004); Petition of Hainan P.O. Shipping Co., Ltd. for an Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, as amended, 31 S.R.R. 1659 (FMC 2010); Petition of United Arab Shipping Company (S.A.G.) for an Exemption from 46 U.S.C. § 40703, Pet. No. P1-14, slip op. (FMC July 17,

Chipolbrok argues that granting the requested exemption would be procompetitive and beneficial to commerce. The company argues that requiring it to wait 30 days for agreed rates to become effective would prevent them from competing for a measurable portion of trade.¹¹ Chipolbrok argues that if it had the ability to reduce its tariff rates upon publication, this would increase competition in that it would permit Chipolbrok to react quickly to market conditions and be competitive with other non-controlled carriers. Chipolbrok also argues that rate discussions move quickly, and the ability to react rapidly is essential to competing for business. Chipolbrok further argues that while most cargo moves pursuant to service contracts, as a breakbulk, bulk, and project cargo carrier, Chipolbrok's shipments move primarily by either tariff rates or charter-party arrangements. Being required to wait 30 days for its tariff rates to take effect would harm shippers, especially U.S. export shippers that rely on Chipolbrok to carry their unique cargo.

Lastly, Chipolbrok argues that granting an exemption would benefit commerce in that allowing an additional carrier to compete effectively in the market would give customers more choices among carrier options and would thus promote the flow of commerce.¹²

Section 40103 provides that if the Commission finds that an exemption will not result in a substantial reduction in competition or be detrimental to commerce, the relief may be granted. The Commission enjoys broad discretion in considering a request for an exemption under section 40103. In addition, "[t]he Commission may attach conditions to an exemption and may, by order, revoke an exemption."¹³

2015); and Petition of COSCO Container Lines Europe GmbH for an Exemption from 46 U.S.C. § 40703, Pet. No. P3-15, slip op. (FMC Nov. 9, 2015).

¹¹ Pet. at 2.

¹² *Id.* at 2-3.

¹³ See 46 U.S.C. §§ 40103(a), 40704(a).

The Controlled Carrier Act's focus is on ensuring that controlled carriers do not charge rates that are below a level that is just and reasonable. This is evident in its differing requirements for controlled carriers versus non-controlled ocean common carriers. For example, non-controlled carriers' tariff rate increases may not take effect for 30 days without special permission from the Commission, but rates that cause decreases in costs to shippers may become effective immediately.¹⁴ By contrast, controlled carriers may not maintain rates or charges in a tariff or service contract, or assess or charge a rate that is below a reasonable level, or is likely to result in the carriage or handling of cargo at a rate or charge that's below a just and reasonable level.¹⁵

Commission regulations make this point even clearer. For non-controlled carriers, 46 C.F.R. § 520.8 states that no new or initial rates or changes to existing rates that cause increased costs to shippers can become effective earlier than 30 days after publication¹⁶, while changes in rates or other tariff provisions resulting in a decrease in costs may become effective upon publication.¹⁷ Section 565.7, however, which applies to controlled carriers, states only that except for service contracts, the rates, charges, classifications, rules or regulations of controlled carriers may not become effective sooner than the 30th day after publication unless granted special permission by the Commission.¹⁸ There is no separate provision for controlled carriers' rates, tariffs, etc. to become effective immediately if they lower costs for shippers. In other words, while the tariff rules generally favor immediate applicability for reductions in cost for shippers, the controlled carrier rules specifically limit tariff changes even when they lower costs to shippers, due to larger concerns about controlled carriers abusing their government-subsidized position in the marketplace to

¹⁴ See 46 U.S.C. § 40501(e).

¹⁵ See 46 U.S.C. § 40701.

¹⁶ See 46 C.F.R. § 520.8 (a)(1).

¹⁷ See 46 C.F.R. § 520.8 (a)(4).

¹⁸ See 46 C.F.R. § 565.7(a).

price below cost and thereby distort the competitive landscape.

Following an examination of Chipolbrok's trade data in the context of the company's position as a smaller carrier in a niche market, the Commission has concluded that granting Chipolbrok's petition for this exemption would neither result in a substantial reduction in competition nor be detrimental to commerce. By allowing Chipolbrok to reduce tariff rates effective on publication rather than requiring a 30-day waiting period, the carriers will be able to react to market conditions more quickly and remain at a level competitive with other carriers not subject to the statutory strictures imposed by the Shipping Act on controlled carriers. The increased flexibility may also allow importers and exporters to avail themselves of rate reductions sooner. Consequently, the exemption would likely be procompetitive and beneficial to commerce.

However, given that the Controlled Carriers Act is concerned with ensuring that controlled carriers do not charge rates that are below a level that is just and reasonable and that Congress wanted controlled carriers to be treated differently, and regulated differently, than non-controlled carriers, the Commission has decided to place conditions on the granting of this petition. In particular, the Commission will require that Chipolbrok file a statement of justification under 46 U.S.C. § 40704(a) when it looks to lower its rates. Chipolbrok is permitted to file these statements confidentially. In addition, because § 40703 exemptions are not intended to be permanent, the Commission is placing a three-year time limit on Chipolbrok's exemption, such that Chipolbrok will be required to resubmit a petition for the exemption if it wishes to renew the exemption once this three-year period has ended.

III. CONCLUSION

The Commission finds that Chipolbrok's petition for an exemption from the requirements in 46 U.S.C. § 40703 will not result in substantial reduction in competition or be detrimental to commerce.

The petition is therefore granted, with the following conditions: that Chipolbrok file a statement of justification under 46 U.S.C. § 40704(a) when it looks to lower its rates; and that the exemption is limited to a three-year period. Chipolbrok will be required to resubmit a petition for the exemption if it wishes to renew it once this three-year time period has ended.

In addition, Chipolbrok will remain subject to all other applicable provisions of the Shipping Act and the Commission's regulations, and the Commission retains full authority to revoke the instant exemption.

THEREFORE, IT IS ORDERED, that Chipolbrok is granted an exemption from the requirement of 46 U.S.C. § 40703 that tariff rates of a controlled carrier may not become effective until the 30th day after publication;

IT IS FURTHER ORDERED, that Chipolbrok must file a statement of justification under 46 U.S.C. § 40704 with the Commission's Office of General Counsel at generalcounsel@fmc.gov each time it lowers its tariff rates with less than 30 days notice;

IT IS FURTHER ORDERED, that this exemption is valid for three years from the date of this Order; and

IT IS FURTHER ORDERED, that this proceeding is discontinued.

By the Commission.

David Eng
Secretary